

Lease expense for operating leases is recognized on a straight-line basis over the lease term as cost of revenues or operating expenses depending on the nature of the leased asset. Certain operating leases provide for annual increases to lease payments based on an index or rate. We calculate the present value of future lease payments based on the index or rate at the lease commencement date for new leases. Differences between the calculated lease payment and actual payment are expensed as incurred. Amortization of finance lease assets is recognized over the lease term as cost of revenues or operating expenses depending on the nature of the leased asset. Interest expense on finance lease liabilities is recognized over the lease term within Interest expense in the consolidated statements of operations.

The balances for the operating and finance leases where we are the lessee are presented as follows (in millions) within our consolidated balance sheets:

	December 31, 2024	December 31, 2023
Operating leases:		
Operating lease right-of-use assets	\$ 5,160	\$ 4,180
Accrued liabilities and other	\$ 807	\$ 672
Other long-term liabilities	4,603	3,671
Total operating lease liabilities	<u>\$ 5,410</u>	<u>\$ 4,343</u>
Finance leases:		
Solar energy systems, net	\$ 21	\$ 23
Property, plant and equipment, net	350	601
Total finance lease assets	<u>\$ 371</u>	<u>\$ 624</u>
Current portion of long-term debt and finance leases	\$ 113	\$ 398
Long-term debt and finance leases, net of current portion	222	175
Total finance lease liabilities	<u>\$ 335</u>	<u>\$ 573</u>

The components of lease expense are as follows (in millions) within our consolidated statements of operations:

	Year Ended December 31,		
	2024	2023	2022
Operating lease expense:			
Operating lease expense (1)	\$ 1,500	\$ 1,153	\$ 798
Finance lease expense:			
Amortization of leased assets	\$ 409	\$ 506	\$ 493
Interest on lease liabilities	21	45	72
Total finance lease expense	<u>\$ 430</u>	<u>\$ 551</u>	<u>\$ 565</u>
Total lease expense	<u>\$ 1,930</u>	<u>\$ 1,704</u>	<u>\$ 1,363</u>

(1) Includes short-term leases and variable lease costs, which are immaterial.